Reserve Bank of India

Department of Regulation / Circular No. DPSS.CO.PD No. 118/21.04.048/2025-26

Date: March 14, 2026

To: The Chairpersons / Managing Directors / CEOs of all Commercial Banks, Payment System Participants and System Providers

1. Preamble

The Reserve Bank of India, in exercise of the powers conferred on it under sections 25A and 25B of the Banking Regulation Act, 1949 and sections 14 and 16 of the Payment and Settlement Systems Act, 2007, hereby issues the following directions to protect customers from fraud.

These directions come into force with immediate effect and supersede all earlier circulars issued on the subject matter described below.

2. Enhanced Due Diligence

All regulated entities shall carry out enhanced due diligence of customers including the authentication of information, irrespective of the risk profile of the customer and the volume of the transaction.

The due diligence process shall include, at a minimum, the measures set out in the table below.

3. Compliance Threshold

A customer transaction above the threshold of INR 50,000 per annum shall require an enhanced certification from the responsible officer under the Master Direction. Transactions below this threshold may be certified at manager level.

4. Measures by Risk Category

The measures prescribed for each category of customer risk are set out below.

Table 1: Due diligence measures by risk category

Risk category	Customer type	Measure	Frequency
Low	Salaried individuals	Verify address once at	Once
Medium	Self-employed with salary and small business	Verify address	Every 2 years
High	Politically exposed persons	Verify and source address,	Every year
Very high	Cross-border correspondent banking	Enhanced due diligence	Continuous

5. Reporting

Every regulated entity shall furnish a half-yearly return of suspicious transactions to the Central Office of the Financial Intelligence Unit in the prescribed form, within thirty days of the close of the half year ending on the 31st of March and the 30th of September respectively.

The officer designated under the Master Direction shall be the nodal officer for the purpose of all reporting under these directions.

6. Application of KYC to Digital Lending

A digital lending platform must be able to demonstrate that it has obtained the explicit consent of the borrower and that the terms of the loan, the annualised interest rate and the penalty for late payment are disclosed at the point of sanction and at the point of disbursal.

Key elec-trical requirements

The lender must provide a digitally signed key loan agreement, a key fact statement and a cooling off period of at least three days during which the borrower may exit without penalty.

A one-time processing fee of not more than three per cent of the sanctioned amount may be charged and must be disclosed upfront in the key fact statement.

7. Non-compliance

Non-compliance with these directions will attract the supervisory action laid down in sections 35A and 35AD of the Banking Regulation Act, 1949, and may include a monetary penalty for each day of continued violation.